MODULE 01 · CASE STUDY 2 · PRE-READ FOR CLASS 2

Two Cases: Price, and the Problem

The Chai Paradox · The $120 Million Machine That Lost to a Bare Hand

READ THIS BEFORE CLASS

There are two cases in this document, and the next session covers both. The first asks why the same cup of tea sells for ₹8 in one place and ₹180 in another. The second asks how a company with $120 million and four hundred employees managed to build something nobody wanted — and how a different company, starting from the opposite end, took thirty-one years to become worth $10 billion.

Read them in order. They are more useful together than apart. As before: no frameworks, no definitions, nothing to memorise. Just two stories and the numbers underneath them.

2	30–35	8
Cases	Minutes to read	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

CASE A

The Chai Paradox

₹8, ₹35, ₹180 — three prices for the same cup

READING TIME: 15 minutes

HOW TO READ THIS CASE

This case asks a question that sounds simple and turns out to be one of the most important in all of business: why does the same product sell for twenty times more in one place than another? Tea leaves, milk, sugar, water, heat. Every chai shop uses these ingredients. Yet the price range runs from ₹5 to ₹180.

As you read, resist the temptation to answer 'because it tastes better' or 'because of the ambience.' Those are surface answers, and you will be asked to defend them. Keep your attention on the **customer** in each of the three businesses, not on the product.

1 Chai in India: The Most Democratic Beverage in the World

India drinks approximately 837,000 tonnes of tea per year, making it the world's second-largest consumer after China. But unlike China's tea culture, which is diffuse across many varieties and rituals, India's relationship with tea is overwhelmingly concentrated in one form: chai — a spiced, milk-based preparation brewed with black tea leaves, fresh ginger, cardamom, and varying quantities of sugar, served scalding hot in a small glass or disposable clay kulhad.

Chai is not merely a beverage in India. It is a social institution. Office meetings begin with chai. Political conversations happen over chai. Negotiations, friendships, condolences, and celebrations are all accompanied by chai. The roadside tapri — a small cart or makeshift stall selling chai — is present at every traffic junction, outside every office building, at every bus stand, and on every university campus in the country. It is, without exaggeration, the most democratically accessible consumer product in India. A chaiwala, working alone with a kerosene or gas stove, a large pot, a strainer, and a stack of small glasses, serves thousands of people every day.

The street tapri's price — typically ₹5 to ₹12 per cup depending on the city and location — has been broadly stable for decades, adjusting slowly to input cost changes. It is one of the few items in India that remains genuinely accessible to the daily wage worker, the college student, and the office professional alike. In that universality lies both its strength and its limitation as a business: a business that everyone can afford is a business with thin margins and limited pricing power.

By 2010, a new set of entrepreneurs was looking at this ₹5 cup of chai and asking a different question: what if there were customers who would pay ten times more — not for better tea, necessarily, but for a different experience around tea? What would it take to build that business? Who was that customer? And what were they actually willing to pay for?

The answers to those questions produced two of the most interesting case studies in modern Indian consumer business: Chai Point and Blue Tokai.

2 The Street Tapri: A Perfect Functional Business

Before looking at the premium players, it is worth spending a moment genuinely understanding the street tapri — because it is not an unsophisticated business. It is a brilliantly optimised one.

A successful tapri in a high-traffic location — outside a large office complex or at a busy junction in Delhi or Mumbai — can sell 400 to 800 cups per day. At ₹8 per cup average (accounting for the fact that many tapris now sell snacks and biscuits alongside chai), that is ₹3,200 to ₹6,400 in daily revenue. The input costs are low: tea leaves, milk, sugar, gas or kerosene, and disposable cups total perhaps ₹2 to ₹2.50 per cup. Gross profit per cup: ₹5.50 to ₹6. Daily gross profit: ₹2,200 to ₹4,800. Net income after location rent (often informal, minimal) and personal labour: ₹2,000 to ₹4,000 per day for a well-positioned tapri — higher than most salaried office roles, with no commute and no boss.

The tapri model is built on four principles that any business strategist would recognise: extreme low cost (minimal inputs, minimal overhead), volume (hundreds of transactions per day), location (proximity to captive demand), and a product that solves a universal, recurring need with zero friction. There is no app, no loyalty programme, no brand story. You walk up, you pay ₹8, you drink your chai in 90 seconds, and you walk away.

The tapri's customer is not choosing between a tapri and Starbucks. They are choosing between the tapri and nothing. The value exchange is as pure as it gets: you are cold, you need caffeine, you have ₹8 in your pocket. The tapri exists. Transaction complete.

But the tapri model has hard limits. It does not scale — there is no way to build a chain of 1,000 tapris and maintain quality, consistency, or brand. It cannot raise prices significantly without losing customers to the next tapri 50 metres away. It is entirely dependent on the individual skill and presence of the chaiwala. And it cannot attract the type of customer who wants something more than pure function from their chai experience. For that customer, a different business was needed.

3 Chai Point: The Professional's Cup

In 2010, Amuleek Singh Bijral was working in Silicon Valley, thinking about what to do next. He had an IIM Ahmedabad MBA and years of experience in the US tech industry. When he looked at India and thought about where the largest underserved opportunity was in food and beverage, his answer surprised people: chai.

The insight Amuleek had was not about tea. It was about a specific customer: the Indian urban professional, working in an air-conditioned office, who was drinking approximately 4 to 5 cups of tea per day — because chai is deeply habitual for most Indians — but who had no good option in or near their office. The tapri outside served functional chai but involved going outside, standing on a pavement, and drinking from a shared glass in conditions that many office professionals found unpleasant. The office pantry machine dispensed something technically described as 'tea' but that bore only a passing resemblance to real chai.

Here is how Amuleek described the problem: office professionals wanted chai that tasted like proper chai, delivered in a hygienic, consistent, convenient format that matched their professional environment. They were already spending ₹40 on lunch. They would spend ₹30 to ₹40 on a proper cup of chai if the experience felt right. They were not looking for an upgrade to a luxury experience — they were looking for a reliable, consistent, good chai that they could get without leaving their building.

Chai Point's solution was the kiosk model: small, branded outlets positioned inside large office parks and corporate campuses across Indian tech and finance hubs. The kiosk had a standardised menu, a trained barista following a proprietary recipe, a clean counter, and a branded cup. Each cup of chai was ₹30 to ₹50. The kiosks were operated by Chai Point directly, not franchised — which was unusual in F&B and deliberate: consistency required control.

The technology layer was equally important. Chai Point launched an app that let office workers pre-order their chai and have it ready when they arrived at the kiosk, avoiding queues. They added a refill feature: pay for a prepaid pack and get chai at a slight discount. They built a loyalty system. None of this was about making the chai better. All of it was about making the experience of getting chai more convenient and more reliably consistent.

By 2018, Chai Point had over 150 outlets across Bengaluru, Delhi, Mumbai, Hyderabad, and Pune, all of them inside corporate campuses. They had also added a machine business — Chai Point-branded chai vending machines, placed inside offices, serving proprietary premix. This was a B2B revenue stream: companies paid Chai Point a monthly fee to have a machine in their office, and employees got chai at their desk. The machine business was particularly interesting because it reversed the economics entirely: no real estate, minimal staff, recurring revenue, and near-100% gross margin on the premix.

Chai Point raised over ₹400 crore from investors including Eight Roads Ventures and Paragon Partners. What were investors paying for? Not a better cup of chai. They were paying for a business that had identified a specific customer segment — the Indian office professional — and served that segment with a precision that the tapri and the vending machine could not. They were paying for the insight that there were tens of millions of working Indians who would reliably pay ₹35 for a cup of chai if the experience around that chai matched their professional environment.

4 Blue Tokai: When Coffee Becomes Something Else

Matt Chitharanjan grew up in the United States and moved to India in 2012. He loved specialty coffee — the third-wave movement that had reshaped American coffee culture through the 2000s and early 2010s, treating coffee beans the way wine connoisseurs treat grapes: as agricultural products whose origin, processing, and roasting profile determine the final flavour. When Matt arrived in India, he found a country with extraordinary coffee-growing regions — Coorg, Chikmagalur, the Nilgiris — but almost no specialty coffee culture in its cities. The coffee most Indians drank was either instant (Nescafé), filter coffee in South Indian restaurants (excellent but not what the specialty market calls 'third wave'), or espresso drinks at Café Coffee Day and Barista, which focused on milk-heavy beverages rather than the coffee itself.

In 2013, Matt and his wife Namrata Asthana founded Blue Tokai Coffee Roasters in a small Delhi apartment. They sourced single-origin beans directly from estates in Coorg and Chikmagalur, roasted them in small batches on a machine in their home, and sold the roasted beans online to coffee enthusiasts and to a small number of cafes. The business was tiny, the market was tiny, and the idea of building a specialty coffee brand in India — where most people drank chai and the rest drank instant coffee — seemed quixotic to most observers.

What Matt and Namrata understood, which most observers missed, was that India's urban consumer class was changing. The same aspirational urban Indian who had grown up drinking Gold Flake and switched to a gym membership, who had grown up watching Doordarshan and switched to Netflix, who had grown up wearing Bata and switched to Nike — this person was ready to discover specialty coffee. Not because they needed better caffeine. Because they were in the process of building an identity that was cosmopolitan, aspirational, and expressive.

A Blue Tokai cafe is designed with intention. The spaces are spare, light-filled, and tasteful — more gallery than café. The menu explains the origin of each coffee: 'Attikan Estate, Chikmagalur, Karnataka. Natural process. Notes of dark chocolate, blueberry, and caramel.' Baristas are trained in the language and ritual of specialty coffee: pour-over, AeroPress, cold brew, filter drip. A single-origin pour-over costs ₹160 to ₹220. A cappuccino is ₹170. These prices are 3 to 4 times what a Café Coffee Day charges for technically comparable drinks.

Who pays ₹180 for a cup of coffee in India when they could pay ₹50 for the same caffeine at CCD? The Blue Tokai customer is typically 25 to 40 years old, works in tech, consulting, or a creative field, lives in Delhi, Bengaluru, or

Mumbai, has travelled internationally or consumes global culture online, and cares — demonstrably, publicly — about quality, provenance, and taste. The Blue Tokai cup is Instagram-worthy. The Blue Tokai visit is something you mention to colleagues. 'I was working out of Blue Tokai this morning' is a statement about you, not just where you got coffee.

By 2023, Blue Tokai had expanded to over 100 cafes across India's major cities and had built a significant online retail business selling whole beans and subscriptions. They raised funding from Verlinvest (the Belgian investment firm that backed Oatly and Tony's Chocolonely) at a valuation that reflected not just their current revenue but their positioning as a category-defining brand at the premium end of Indian coffee. Their FY2023 revenue was approximately ₹100 crore, growing rapidly.

> SAME AND DIFFERENT
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> **What is the same:** the core agricultural inputs. A skilled chaiwala's masala chai can, in a blind taste test, compete with — and often beat — the product from a branded outlet. Blue Tokai serves coffee, not chai, but the caffeine delivered to your bloodstream is chemically identical regardless of whether it comes from a tapri or a Blue Tokai pour-over. You feel more alert, you have a warm drink in your hand, your social ritual of pausing for a beverage is satisfied.
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> **What is different:** almost everything else. The physical environment. The hygiene. The consistency. The story attached to the product. The signal it sends to others about who you are. The way it makes you feel about yourself. The effort required to obtain it. Whether it is Instagram-worthy. Whether you would feel comfortable taking a client there. Whether your parents would understand why you paid that much for tea.

5 Arjun: One Person, One Day, Three Prices

Here is one of the most important and counterintuitive facts about consumer behaviour: the same person, for the same product, has different willingness to pay depending on the situation.

Consider Arjun, a 24-year-old software engineer at a Bengaluru startup.

7:15am. Rushing from his PG to catch the office shuttle, he pays ₹8 for chai from the tapri at the bus stop. He drinks it in 60 seconds standing and moves on. His willingness to pay for chai in that moment: ₹10 maximum. He is not thinking about experience or identity at 7:15am.

11am. In the office, he opens the Chai Point app and orders a cutting chai with ginger delivered to the Chai Point kiosk in his building's lobby. He pays ₹35. He is in a professional environment, he is not in a rush, and he can enjoy it at his desk. Willingness to pay in this context: ₹40.

Saturday afternoon. Arjun is working on a personal project at a Blue Tokai cafe in Indiranagar. He has brought his laptop, he has ordered a single-origin pour-over (₹190), and he has taken a photo of his setup and posted it to Instagram. He will spend three hours here. Willingness to pay for that coffee: ₹200, possibly ₹220.

This is the same person, the same product category, and three different price points — ₹8, ₹35, ₹190 — across a single day. He is not being irrational at any point in that day. Something genuinely changes across those three contexts, and it is not the tea.

6 The Numbers: What Each Business Actually Earns

The contrast in margins between the three businesses is as revealing as the contrast in prices.

BUSINESS	PRICE / CUP	COST OF GOODS	GROSS PROFIT	WHAT IT COSTS TO RUN
Street tapri	₹8	₹2.50	₹5.50 (69%)	Almost nothing. Location often informal, labour is the owner's own. Net income ₹4,000–6,000/day for a well-placed stall.
Chai Point	₹35	₹8	₹27 (77%)	Significant. Rent inside premium office parks, trained staff, technology platform, central kitchen for premix, regional operations, marketing. A kiosk at 200 cups/day is marginally profitable; at 400 cups/day it is very profitable.
Blue Tokai	₹180	₹30–40	₹140–150 (78–83%)	High. Premium locations in expensive neighbourhoods, trained baristas on higher-than-standard F&B wages. A cafe doing 150 cups/day generates roughly ₹21,000 in daily gross profit against rent of ₹1.5–2 lakh/month.

Two things in that table are worth noticing before class. First: the gross margin *percentages* are broadly similar across all three. Each business has optimised its cost structure for its price point. Higher prices do not automatically mean fatter percentage margins. What differs dramatically is the revenue per transaction and the absolute rupees earned per cup.

Second: Blue Tokai's FY2023 revenue was approximately ₹100 crore from 80+ outlets. Chai Point's revenue across outlets and machines was in a similar range but from 150+ outlets. Blue Tokai generates roughly equivalent revenue from half the outlets.

7 The Question This Case Sets Up

Chai Point serves more cups per day than Blue Tokai, has more outlets, and has raised more capital. But there is a difference between the two that has nothing to do with size: the Chai Point customer is comparing ₹35 to the ₹8 tapri downstairs, and to the free machine in the pantry. The Blue Tokai customer is not comparing ₹180 to anything. There is no obvious substitute in their mind.

That absence of a comparison is worth thinking hard about before class. It is the difference between a business that must defend its price every single day and one that does not.

CASE B

The $120 Million Machine That Lost to a Bare Hand

Juicero and Oatly — same ambition, two opposite starting points

READING TIME: 18 minutes

HOW TO READ THIS CASE

Two companies. Both wanted to build a large, valuable, venture-backed business. Both founders were intelligent, well-funded, and hard-working. One raised $120 million and shut down seventeen months after launch. The other took thirty-one years to reach a $10 billion IPO.

As you read, keep a running note for each company: **before this product existed, what were people already doing about this — and how do we know?** By the end of the case you should be able to point at the exact moment where the two stories diverge. It is much earlier than you will expect.

1 The Smart-Kitchen Gold Rush

Between roughly 2011 and 2017, Silicon Valley venture capital went through a genuine wave of enthusiasm for 'smart' consumer hardware — ordinary household objects reinvented as Wi-Fi-connected devices with an app and, ideally, a recurring subscription attached. The trigger was Nest, the smart thermostat company Google acquired in 2014 for $3.2 billion. Nest proved that even the most boring object in your house — a thermostat — could become a multi-billion-dollar business if you wrapped it in sensors, software, and a slick design.

Investors drew a simple, tempting conclusion: if a thermostat could be worth $3.2 billion, almost any everyday object was fair game for the same treatment. Over the next few years, well-funded startups launched 'smart' versions of coffee makers, water bottles, cutting boards, egg trays, forks that vibrated if you ate too fast, and juicers — each pitched with a version of the same slide: a mundane object, a recurring revenue model bolted on, and a comparison to a company that had already proven the model elsewhere ('the Nest of X', 'the Nespresso of Y').

A handful of these bets did pay off — the smart speaker and the video doorbell both eventually found real, daily-use problems (not being able to hear the phone from another room, not knowing who is at the door). That is precisely what makes the pattern dangerous rather than obviously foolish: enough genuine successes existed inside the wave to make the failures feel, in the moment, like bad luck or bad execution rather than a bad starting premise.

2 Juicero: 'The Nespresso of Juice'

Doug Evans founded Juicero in 2013. He had previously built and run a raw cold-pressed juice retail chain in New York, and he was genuinely, sincerely passionate about cold-pressed juice as a health category — this was not a cynical pitch dreamed up by a growth-hacker with no connection to the product he was building.

His idea: a home juicing machine that felt like a piece of Apple hardware — milled aluminium body, minimalist design, a soft launch chime — that was Wi-Fi-connected and applied up to four tons of pressure to proprietary produce packs: pre-washed, pre-chopped fruit and vegetables, cold-pressed at a central facility and delivered fresh

on a subscription. You would insert a pack, the machine would scan a QR code printed on it to confirm the pack had not expired and to calculate exactly how much pressure and time that specific produce needed, and out came a glass of restaurant-quality, cold-pressed juice in under a minute, with none of the mess, cleanup, or grocery-shopping a normal juicer or a trip to a juice bar required.

The Wi-Fi connection was not decorative — it was central to the business model: the machine would refuse to squeeze a pack it judged too old. That detail later became a punchline, because it meant the 'smart' feature existed to protect the subscription revenue model rather than to solve any problem the customer had.

The machine launched commercially in April 2016 at $699; the price was cut to $399 in January 2017 in an attempt to widen the customer base. Each produce pack cost $5 to $8 and was sold on a recurring subscription, meaning the real ongoing cost of using a Juicero was closer to a restaurant habit than a grocery one — the machine itself was never actually the expensive part of owning a Juicero.

Between 2013 and 2017, Evans raised roughly $120 million across multiple funding rounds from a genuinely blue-chip investor list: Kleiner Perkins Caufield & Byers (early backers of Amazon and Google), GV (Google Ventures), and Campbell Soup Company — a 150-year-old food conglomerate betting on the future of fresh food — among others. By the time the machine launched, Juicero employed more than 400 people and had built a genuinely sophisticated cold-pressed supply chain to keep produce packs fresh from farm to fridge, including its own delivery logistics.

By any normal measure of Silicon Valley validation — investor pedigree, funding raised, headcount, design polish, press coverage before launch — Juicero looked like a winner before it had sold a single juice pack.

3 April 2017: The Bloomberg Video

In April 2017, Bloomberg reporters Ellen Huet and Olivia Zaleski published a story that became one of the most-cited startup failures in modern venture capital history. They had discovered something devastatingly simple: **you could squeeze Juicero's proprietary packs by hand** and get essentially the same juice, in essentially the same amount of time — sometimes faster — as the $699 (or $399) machine produced.

The video, showing a reporter squeezing a pack with bare hands next to the machine doing the identical job, spread rapidly and turned Juicero into a punchline almost overnight; within 48 hours it had gone from one of Silicon Valley's most celebrated hardware startups to its most ridiculed.

The company's public defence made things worse, not better: the CEO argued that the machine still mattered because it delivered 'consistent, predictable pressure' pack after pack — a claim that was technically true and commercially irrelevant, because no customer had ever complained about inconsistent juice pressure, or was likely to start now that the mechanism's value had been shown to be replaceable by a human hand.

Internally, the company scrambled: it had already cut the price once, it tried repositioning the machine around convenience rather than pressure consistency, and it offered refunds to unhappy customers. None of it worked, because none of it addressed the actual problem the video had exposed — that the $700 piece of engineering added zero value a customer could feel, and once that becomes common knowledge, no repositioning campaign can put it back.

By 1 September 2017 — roughly seventeen months after commercial launch, and just five months after the Bloomberg story — Juicero shut down completely and refunded remaining customers. At the time it closed, the company was reportedly burning around $4 million a month. Investors who had put in over $120 million recovered essentially none of it, and the roughly 400 employees who had built the supply chain, the app, and the machine itself lost their jobs on a piece of technology that, in hindsight, the market had never actually asked for.

Secondhand Juicero machines later showed up being resold for a fraction of their price by owners who kept the machine but had already gone back to hand-squeezing the packs — a small but almost poetic postscript to the whole story.

4 Oatly: A Problem Found in a Lund University Lab

Rickard Öste was a Swedish food scientist at Lund University who, in the 1980s, was researching lactose intolerance — the reduced ability of the human body to digest the sugar in milk after childhood. This is not a niche condition: commonly cited estimates put the share of the world's adult population with reduced lactase production above 65%, with enormous variation by ethnicity, from under 10% in parts of Northern Europe to well over 90% in large parts of East and Southeast Asia.

In 1985, at a conference in Japan, Öste encountered soy milk and had a research idea worth pursuing: could a plant source be processed to taste and behave like real milk, rather than like an obvious, slightly unpleasant compromise?

The alternatives available at the time — early soy milk, rice milk — were nutritionally uneven and, more importantly, did not behave like milk in the ways that actually mattered to a daily user: soy milk tended to separate and curdle when added to hot coffee, rice milk was thin and watery with almost no protein, and neither frothed into the stable microfoam a barista needs for a cappuccino. This detail matters more than it first appears: a dairy alternative that cannot be used the way people actually use milk — in coffee, in cereal, in cooking — is solving only part of the problem, however nutritious it is on paper.

Using enzymes called alpha-amylases to break down oat fibre into a smooth, drinkable liquid that retained real nutritional value — including beta-glucan, a soluble fibre with genuine cholesterol-lowering evidence behind it — and, crucially, behaved like dairy milk under heat and agitation, Öste and his colleagues patented the process in 1990. In February 1994, he and his brother Björn founded a company — originally called Ceba AB, later renamed Oatly — to commercialise it.

Notice what came first here: not a product idea in search of a market, but years of unglamorous enzymatic research into a documented, medically real condition that already affected a majority of the world's adults, whether or not anyone had yet built a business around it.

5 Thirty Years of Slow Growth, Then a New CEO

For roughly the next two decades, growth was slow. Oatly remained a small, mostly Scandinavian product sold primarily to health food stores and hospitals catering to patients with dairy allergies, competing against dairy milk's total cultural dominance in the Swedish diet.

The turning point was leadership, not science: the product had worked since the early 1990s, but nobody had yet found the language or the distribution channel to make it feel desirable rather than medicinal — something you were prescribed rather than something you chose.

In 2012, Toni Petersson became CEO and led an aggressive repositioning: bold, sustainability-and-taste-forward marketing ('Wow No Cow!', 'It's like milk, but made for humans' — a deliberately provocative tagline implying that cow's milk, if anything, was the strange choice), and a deliberate push into specialty coffee shops — giving product to baristas directly and building grassroots demand among the people who would serve it to customers every single day, rather than trying to win shelf space in supermarkets first, where a new product competes for attention against a wall of established brands.

The Barista Edition formulation — engineered specifically to froth and steam the way dairy milk does — was the vehicle for this strategy, and it worked because it solved the exact sensory gap that soy and rice milk had never closed.

The company expanded into the United States in 2016 and China in 2018 via a joint venture. Even the company's legal troubles became marketing: when Sweden's dairy lobby sued Oatly over its 'like milk' positioning, arguing the comparison was misleading to consumers, the company printed the lawsuit documents directly onto its cartons, turning a legal threat into counter-culture credibility with exactly the audience it wanted to reach.

In 2020, a consortium led by Blackstone — including Oprah Winfrey, Jay-Z, Natalie Portman, and Starbucks' Howard Schultz — invested $200 million at a valuation of roughly $2 billion. On 20 May 2021, Oatly listed on the Nasdaq under the ticker OTLY, pricing its IPO at $17 a share for an implied valuation of $10 billion and raising $1.4 billion; the stock opened trading at $22.12, briefly valuing the company at $13.1 billion. Its 2020 revenue was $421.4 million, more than double the year before.

It is worth noting the whole arc honestly: the underlying condition Oatly addressed never changed between 1990 and 2021. What changed was Oatly's ability to reach the customer who already had that condition, in a format that fit into their existing daily habits. It is also worth noting that Oatly's post-IPO share price fell sharply in the years that followed as growth slowed — the story does not end as cleanly as the IPO headline suggests.

6 Side by Side

COMPANY	MONEY AND SCALE	OUTCOME
Juicero	~$120 million raised (2013–2017, Series A–C); burning ~$4 million/month at the end; unit price $699 cut to $399; pack subscription $5–8/pack; 400+ employees.	Shut down 1 September 2017 — about 17 months after commercial launch. Full investor loss.
Oatly	$200 million raised in 2020 at a ~$2 billion valuation; IPO on Nasdaq May 2021 raised $1.4 billion at a $10 billion valuation (opened at a $13.1 billion market cap); FY2020 revenue $421.4 million.	Publicly traded, real revenue at global scale — though its post-IPO share price fell sharply in the years that followed as growth slowed.

Here is a fact worth sitting with before class. Ask yourself which company had raised more money *before its very first sale*. Most people guess Oatly, since it is the obvious 'winner' in this story.

The answer is Juicero, and by a wide margin. Juicero had raised more capital before a single juice pack was sold commercially than most seed-stage Indian D2C brands raise across their entire first five years combined.

7 Both Founders Were Serious People

It is tempting to read this contrast as a story about a bad founder and a good one. That framing is too easy, and it is worth resisting.

Doug Evans was not incompetent. He had run a real juice business, he cared sincerely about the category, he hired well, and his team executed brilliantly on manufacturing, design, and fundraising. Reporters at the time noted that the machine was engineered to feel like an Apple product, machined aluminium body and all. Rickard Öste, for his

part, was not simply lucky: he spent thirty years watching a company most people had never heard of grow very slowly, and needed a change of leadership before the product found its market.

Notice too how differently the two men talked about setbacks in public. Evans, in interviews after the Bloomberg story, kept returning to the engineering — the pressure consistency, the freshness verification. Petersson and Öste could always return to the underlying health statistic. Something about their starting points gave them very different things to stand on when things went wrong.

8 The Question This Case Sets Up

If money, talent, and design polish cannot rescue an idea, how do you tell — before spending a single rupee building anything — whether the problem you think you are solving is actually real, and real enough to build a business on?

Juicero's team could have asked a version of that question at any point in four years of development and manufacturing. The honest answer, had anyone tested it against real customer behaviour rather than internal enthusiasm, would have saved $120 million and 400 jobs.

That is the tool the next class builds.

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
>
> Eight questions — four on each case. A line or two each is enough. Nothing here is collected or graded, but you will be asked for your answers in the room, and the questions are designed so that a wrong answer is more useful than no answer.
>
> There are no model answers at the back of this document. That is deliberate.

On the Chai Paradox

1. **Arjun pays ₹8, ₹35 and ₹190 for a hot caffeinated drink across a single day.** Is he being irrational at any point? Pick the price you find hardest to defend and defend it anyway, in two sentences.

2. **List three things a Blue Tokai customer gets that a tapri customer does not.** Now cross out every item on your list that is about the drink itself. What is left?

3. **The gross margin percentages of the tapri, Chai Point and Blue Tokai are all in the same range (69–83%).** So what, exactly, is the advantage of being Blue Tokai? Answer in rupees, not adjectives.

4. **Think of one thing you personally paid a premium for in the last month** — clothes, food, a phone, a haircut, a subscription. What was the cheaper option, why did you not take it, and would you have still bought yours if nobody you know would ever have found out?

On Juicero and Oatly

5. **Before Juicero existed, what were people who wanted cold-pressed juice actually doing?** Write down exactly what that alternative cost them — in money, time, and irritation. Then do the same exercise for a lactose-intolerant person before Oatly Barista Edition existed. Compare the two lists.

6. **Juicero raised $120 million from Kleiner Perkins, Google Ventures and Campbell Soup before selling a single pack.** If investors that sophisticated were convinced, what were they actually convinced *of*? Name the thing they had evidence for, and the thing they did not.

7. **Suppose Doug Evans came to you in 2013, before anything was built,** with the same passion for cold-pressed juice. You are allowed to ask him exactly one question before he spends any money. What is your question — and what answer would have made you tell him to stop?

8. **Have you ever had a startup or product idea of your own?** Be honest with yourself about which came first: the idea for the thing, or the problem it solved. Write down the idea in one line, and the problem in one line. Bring both — we will use them.

Bring your eight answers and at least one thing from these two cases that you think is wrong or overstated. Both cases are written to make a point, and points that go unchallenged are worth very little.